

business? And did he reinvest all the dividends? Even if it were theoretically possible to do this sort of calculation, you can be sure that nobody ever invested in this way.

Almost all the numbers used in modern finance and economics are artificial, made up, and often fraudulent. You say the gross domestic product (GDP) rose 3 percent. What does that mean? Does it mean anything at all? When you dig into the numbers, what you find is a remarkable lack of precision. Assumptions. Adjustments. Estimates. Beneath the numbers is a swamp of slimy guesswork.

Yet the numbers are reported with decimal points, as if they were matters of scientific fact.

Here's just one example: Computer processing power increased greatly in the 1990s and 2000s. Moore's Law decreed that it would double every 18 months. Yet, because manufacturers became better and better and more competitive, prices remained fairly stable.

So one year, a computer might cost \$1,000. Then, every one that was sold added \$1,000 to total output. Two years later, the price might still be \$1,000, but the computer could process twice as much information. What to do?

The quants who figure out such things decided that a computer that is twice as powerful should be twice as expensive, no matter what its real price. They added \$2,000 to the GDP.

These "hedonic" adjustments made GDP numbers look better. But was there really any more "output"?

If bridges were built with such self-serving calculations, they would all fall down. Airplanes designed by economists would never get off the ground.

So, for those reasons, we distrust numbers generally and keep our distance from them. We use them as a chef uses his nose, just to get a whiff of what is going on in the kitchen.

A man with \$100,000 in stocks was a rich man in 1900. Now, perhaps, he has \$10 million in stocks. He has gotten richer. But so has almost everyone else. He was a rich man then. He is a rich man now. Is he any richer, compared with other people? Hard to say. . . .